

Balancing the board

The board has three clear areas of responsibility: developing business strategy, advising the company, and overseeing how the firm is run. Selecting the right mix of directors to fulfill these functions is crucial.

Board members may come from inside or outside the company. Those who work for the company (executive or internal directors) have more expertise in running the business, but independent members (non-executive or external directors) are better placed to offer perspective, scrutinize the actions

of company executives, and call them to account. When potential conflicts of interest arise between management and shareholders, independent directors can weigh decision-making in favor of acting in the company's best interests.

The ideal balance is a hot topic in corporate governance. In US companies, CEO and chairman roles have traditionally been combined, but following a spate of corporate scandals, the roles are now more often vested in two individuals. In Europe, keeping the roles separate has long been seen as best practice.



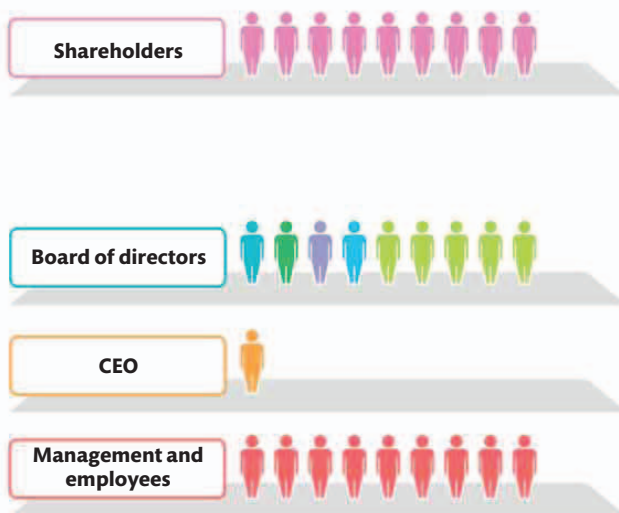
NEED TO KNOW

- **NEDs** Non-executive directors, also known as independent, external, or outside directors
- **Executive directors** Board members who also work for the company—not to be confused with the term executive director when used as a title for the CEO
- **Model Business Corporation Act** Developed by the American Bar Association, this model is used as the basis for corporate governance in the US

Board structure variations

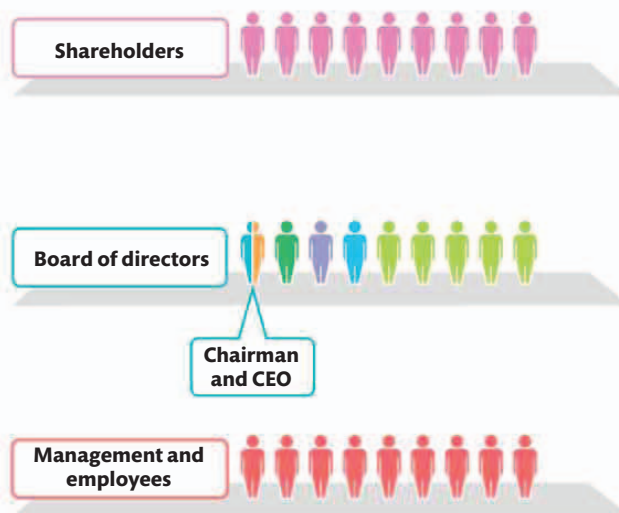
Independent board of directors

The board sits between shareholders and company. The CEO is the main channel of communication between board and company, while the chairman is the principal conduit between shareholders and board. This structure gives the board most independence.



CEO as chairman

A setup in which the company's CEO serves as the board's chairman. While this offers less independent scrutiny of finances, strategy, performance, and pay, it avoids duplication of roles. This setup is found in US corporations and in many small- and medium-sized companies in other countries.



Key



Shareholders



Chairman



Treasurer



Secretary